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US Rates Strategy

5yr Auction – Strong Demand

CITI'S TAKE

76% Citi Strength Indicator — Treasury auctioned \$70 billion of 5-year notes today. The auction tailed the 1pm market by 0.2bp to yield 4.393%.

Strong Directs / Average Indirects — Direct participants comprised 28.4% of the auction, which is at the 73rd percentile of the past 12 auctions. Indirect participants comprised 61.5% of the auction, which is at the 45th percentile of the past 12 auctions. This left the dealer take-down to be 10%.

Strong Bid / Cover — The bid/cover ratio came in at 2.37, which is at the 82nd percentile of the past 12 auctions.

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5yr Auction – Strong Demand

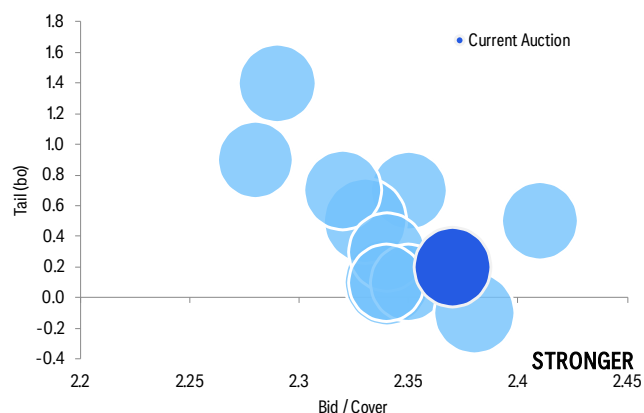
Treasury auctioned \$70 billion of 5-year notes today. The auction tailed the 1pm market by 0.2bp to yield 4.393%. The bid/cover ratio came in at 2.37, which is at the 82nd percentile of the past 12 auctions. Direct participants comprised 28.4% of the auction, which is at the 73rd percentile of the past 12 auctions. Indirect participants comprised 61.5% of the auction, which is at the 45th percentile of the past 12 auctions. This left the dealer take-down to be 10%.

Figure 1. Today's Auction Ratings: Citi's Auction Strength Indicator

76%	Auction Strength Indicator					
	Current Auction	Percentile	Previous	1Y Average	1Y Max	1Y Min
Bid/Cover	2.37	82%	2.28	2.34	2.41	2.28
Dealer Percentage (%)	10.0	18%	13.5	11.86	15.61	8.84
Indirect Percentage (%)	61.5	45%	59.2	63.47	74.85	59.24
Direct Percentage (%)	28.4	73%	27.2	24.67	31.65	12.34
Tail / Through (bp)	0.2	36%	0.9	0.45	1.40	-0.10

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Source: Citi Research, US Treasury

Figure 2. Auctions at a glance, bubble size represents non-dealer bids



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Figure 1 recaps today's auction and provides the Citi Strength Indicator. Figure 2 displays today's results in relation to past auctions. Strong auction results lie in the bottom right corner while weak results are in the upper left.

Figure 3. Recent data for previous auctions

Security	Issue Size (\$bn)	High Yield (%)	Low Yield (%)	Through (-) / Tail (+)	Percent Tendered at High (%)	Bid / Cover	% Dealers Accepted	% Indirects Accepted	% Directs Accepted	Yield Change 5d Post (bp)
T 4.375 08/31/2031	70	4.393	4.280	0.2	19.0	2.37	10.0	61.5	28.4	-
T 4.375 07/31/2031	70	4.408	4.290	0.9	52.0	2.28	13.5	59.2	27.2	-1
T 4.125 06/30/2031	70	4.200	4.085	0.7	87.0	2.35	12.9	61.6	25.5	3
T 4.125 05/31/2031	70	4.182	4.070	0.1	75.0	2.34	12.8	74.9	12.3	3
T 3.875 04/30/2031	70	3.955	3.840	0.5	61.0	2.33	12.7	72.3	15.0	14
T 3.875 03/31/2031	70	3.980	3.860	1.4	90.0	2.29	15.6	61.9	22.5	-3
T 3.5 02/28/2031	70	3.615	3.500	0.7	67.0	2.32	12.8	62.5	24.7	5
Average	70	4.105	3.989	0.6	64.4	2.33	12.9	64.8	22.2	4
Minimum	70	3.615	3.500	0.1	19.0	2.28	10.0	59.2	12.3	-3
Maximum	70	4.408	4.290	1.4	90.0	2.37	15.6	74.9	28.4	14

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